



GLOBAL MINIMUM TAX: UNDERSTANDING THE SIDE- BY-SIDE PACKAGE

Webinar, 13 January 2026



Today's webinar – Housekeeping

Simultaneous interpretation

- Available in French or Spanish (please use the interpretation icon to access the interpretation)

Recording

- This webinar is being recorded and will be made available in English, French and Spanish on the OECD website.

Q&As

- The chat function has been disabled, please submit your questions using the Q&A function.

Documents

- To access the content of the Side-by-Side package, visit the OECD website.
(<https://www.oecd.org/content/dam/oecd/en/topics/policy-sub-issues/global-minimum-tax/side-by-side-package.pdf>)



Today's webinar – Speakers



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Today's webinar – Agenda

Side-by-Side package

- Overview
- Material simplifications
- Greater alignment of substance-based tax incentives with QRTCs
- Side-by-Side system
- Q&A

Looking ahead

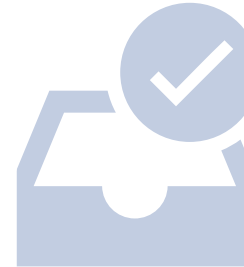


Overview of the Side-by-Side Package

The Inclusive Framework, which now includes 148 members, **agreed by consensus a package of measures** relating to the Global Minimum Tax on 5 January 2026.



Political context



Material
simplifications



Greater alignment of
substance-based tax
incentives with QRTCs



Side-by-Side system



MATERIAL SIMPLIFICATIONS



Material simplifications

Simplified ETR Safe Harbour

- Simplified calculation of income and taxes, testing whether simplified ETR is at least 15% on a jurisdictional basis, and using the information available
- Applicable as of 2027 (possible as from 2026 when no coordination issues arise)
- With possible re-entry where taxpayer drop out in a particular year

Extension of the Transitional CbCR Safe Harbour

- One year extension of the transitional CbCR Safe Harbour
- No changes, same rate (17%)

Work programme for additional simplifications

- Integrating routine and de minimis profits tests into permanent safe harbours
- Incorporating simplifications into the GloBE Rules themselves with a particular focus also on facilitating continuity between the Simplified ETR and GloBE calculations
- Administrative guidance, including simplifications for Investment Entities, MOCEs
- Addressing the implementation challenges faced by lower capacity jurisdictions



Simplified ETR Safe Harbour

	Simplified Income	Simplified Taxes
Basic adjustments	• Jurisdictional aggregates • Excludes dividends, equity gains / losses	• Excludes taxes related to excluded income • Applies deferred tax accounting but subset of DTLs (recast at 15%)
Optional adjustments	• Allows further optional adjustments	• Allows further optional adjustments
Uncommon adjustments	• Illegal payments, penalties	• Simplified approach for post-year end tax adjustments
	• No need to make adjustments for equity reported items or to reverse PPAs when deferred taxes recorded at 15%	• Simplifications for loss making companies (valuation allowance for DTAs, simplified 4.1.5 amount and transitional approach)
Transition, re-entry and integrity rules		
Minimum rate = 15%		



GREATER ALIGNMENT OF SUBSTANCE-BASED TAX INCENTIVES WITH QRTCS



Greater alignment of substance based tax incentives with QRTCs

Principle

- Effective Tax Rate =
$$\frac{\text{Taxes before Qualified Tax Incentives}}{\text{Income}}$$

Amount of Qualified Tax Incentives

- Qualified Tax Incentives are generally available incentives which are either based on expenditures or based on the amount of tangible property produced in the jurisdiction.
- Cap based on 5.5% of payroll or depreciation of tangible assets located in the jurisdiction. Alternative cap of 1% of carrying value of depreciable tangible assets (excl. land), subject to a five-year election.

Substance-Based Tax Incentives Safe Harbour

- Election with no cliff-edge effect: applies to relevant portion of top-up tax.
- Effective as of 1 January 2026.



SIDE BY SIDE SYSTEM



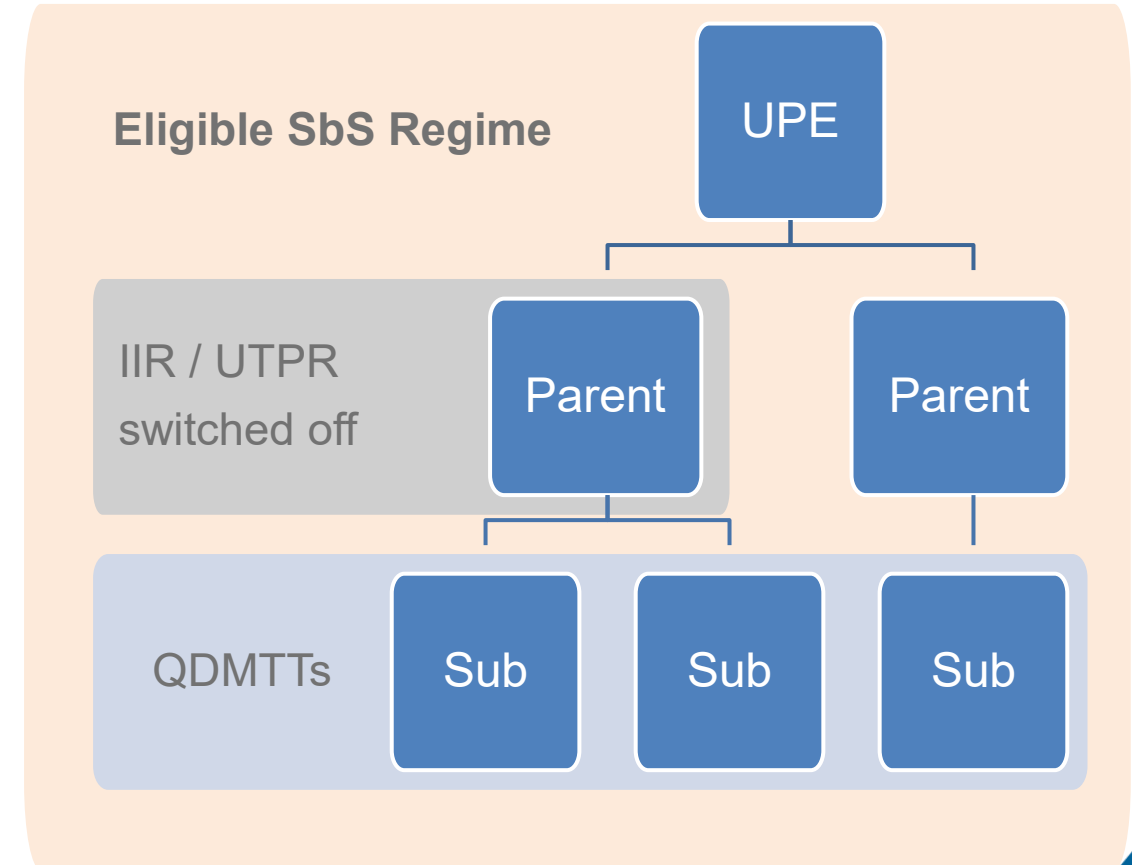
Side-by-Side system

Side-by-Side Safe Harbour

- Recognises special status of pre-existing minimum tax regimes
- Eligibility criteria
- QDMTTs remain unaffected and are credited under Eligible SbS regime
- Applicable as of 1 January 2026
- United States listed on the Central Record as having an Eligible SbS Regime

UPE Safe Harbour

- Eligibility criteria relating to domestic tax system
- Limited to application of UTPR in respect of the UPE jurisdiction
- Eligibility to be determined by the Inclusive Framework





Side-by-Side system

Stocktake to be concluded by 2029

- Ongoing commitment to address risks to the level playing field or BEPS
- Conclusions to be based on evidence of emerging risks
- Commitment to take action, including targeted action, where necessary

Reinforcing effectiveness of QDMTTs

- QDMTTs unaffected
- Conditional taxes not recognised as covered taxes
- Integrity measures
- Further simplifications for administrations and MNEs applying QDMTTs to be explored



NEXT STEPS



Next steps – Global minimum tax

Guidance

- Further simplifications
- Guidance on technical issues
- Integrity rules

Qualified Status

- Central Record
- Transitional Qualification Mechanism
- Full legislative review and Related Benefits

Administrative aspects

- Streamline the GloBE Information Return
- Amsterdam dialogue
- Community of Experts
- Co-ordination mechanism

Technical assistance



ANY QUESTIONS?



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